Strategic Initiative for Talent Retention

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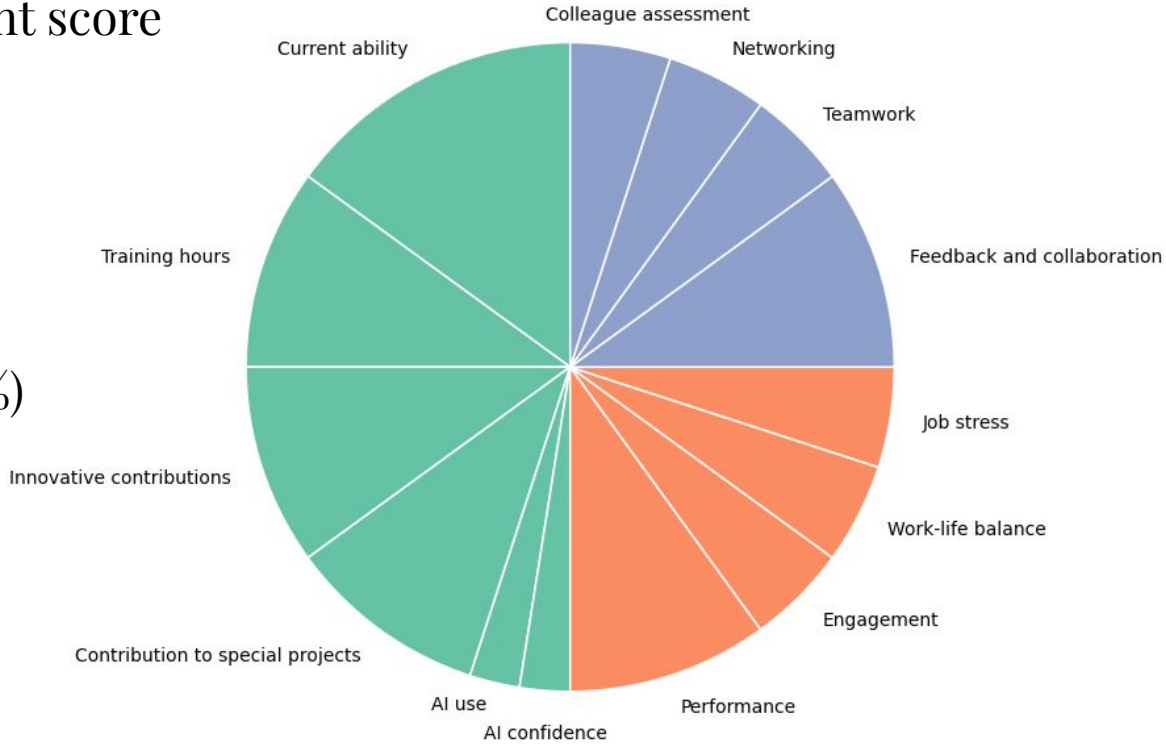
Why Talent Management Matters

- Knowledge-intensive firms depend on highly skilled employees for competitive advantage
- Losing talented employees reduces innovation and knowledge transfer
- Talent management is strongly linked to organizational performance

Talent Identification Model

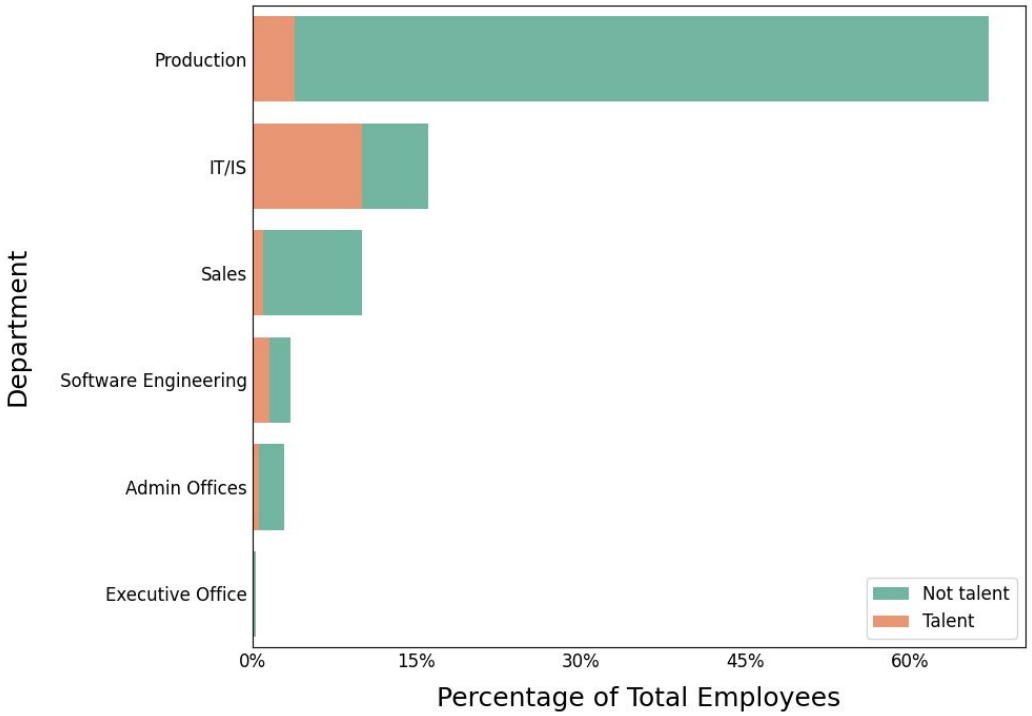
We developed a composite talent score combining three dimensions:

- Technical abilities (50%)
- Personal abilities (25%)
- Interpersonal abilities (25%)



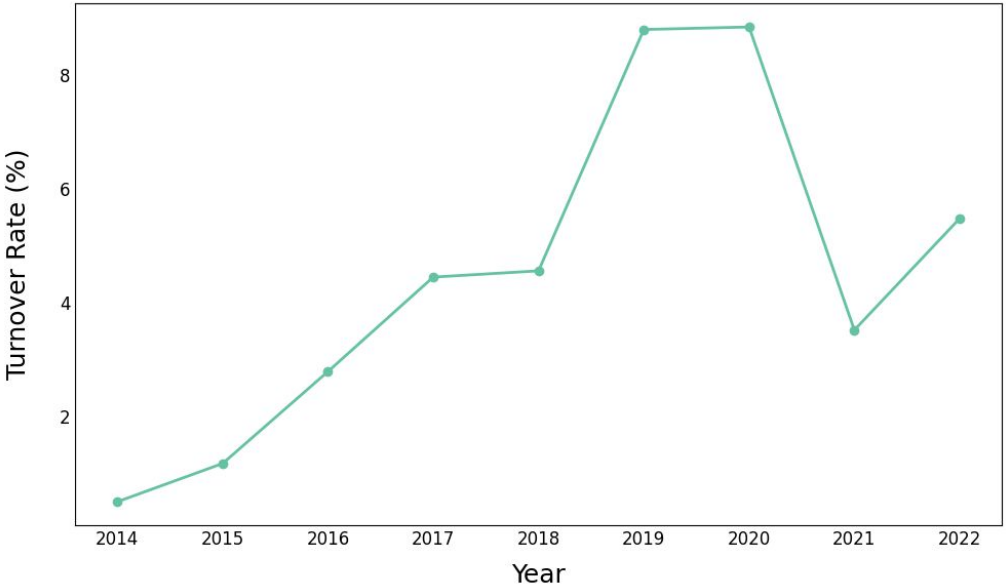
Talent Distribution per Sector

The IT/IS department shows the highest concentration of talent relative to its size, while Production employs the largest share of the workforce but a lower proportion of talent.



General Turnover Trend

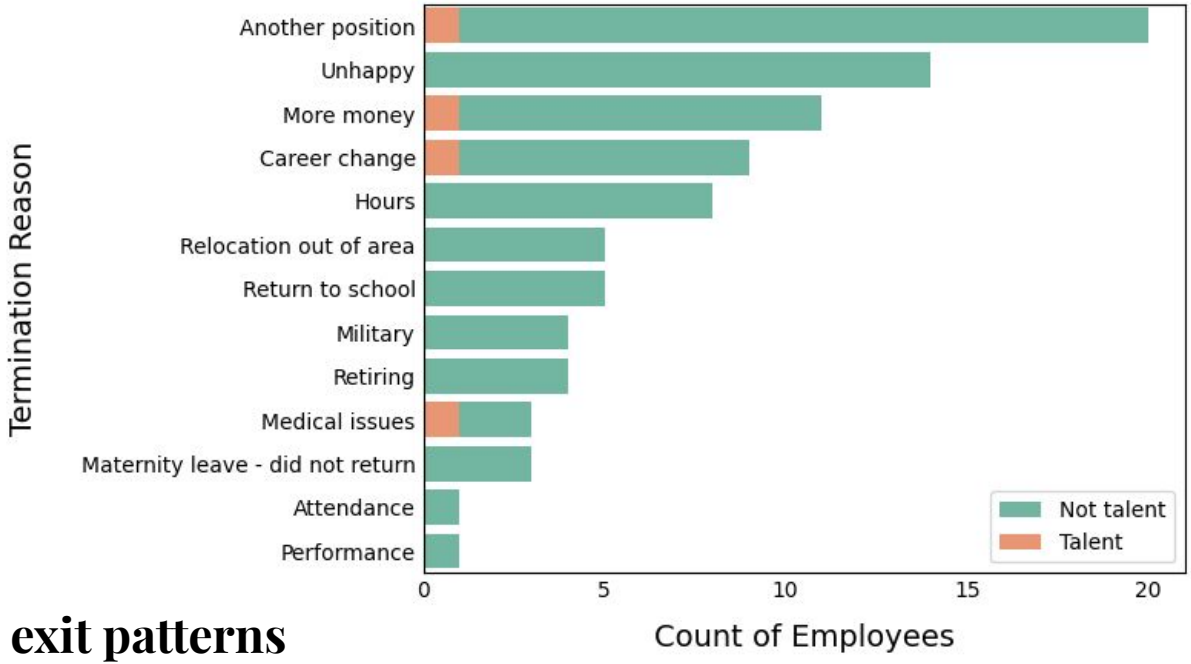
Voluntary turnover increased steadily from 2014 and peaked around 9% in 2020 before declining and stabilizing in recent years.



Self-reported Reasons Employees Leave

Key reasons

- Another job opportunity
- Higher salary
- Career changes



Talents show **slightly different exit patterns**

Predictive Model for Turnover

We built a **logistic regression model** to predict voluntary turnover.

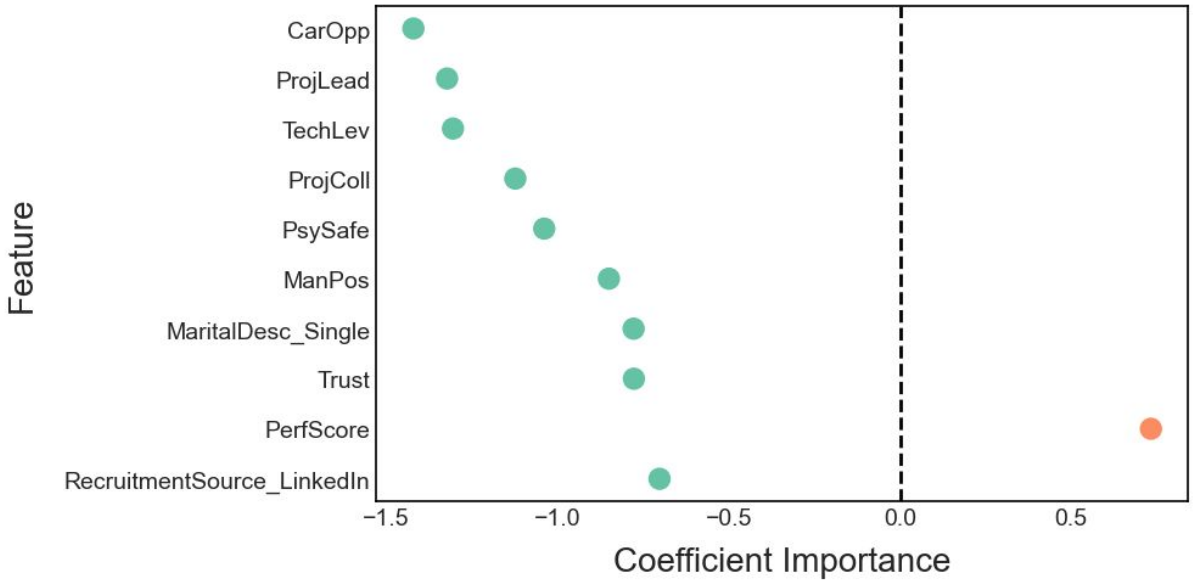
The model:

- Uses statistically significant variables from the dataset
- Estimates the **probability that an employee will leave**

This allows **early identification of employees at risk**.

Key Drivers of Turnover by Model

Positive coefficients indicate factors that increase turnover risk, while negative coefficients reduce the likelihood of leaving.

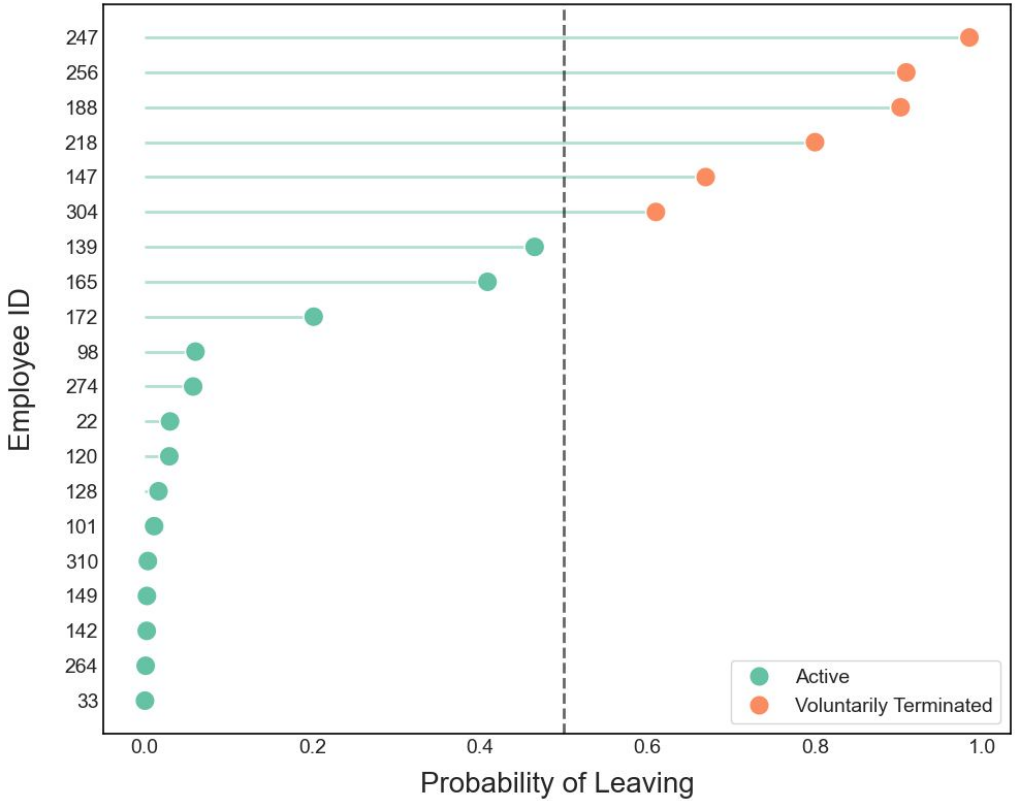


Model Reliability

The model was tested on **20 observations not used during training**.

This compares:

- Predicted probability
- Actual employment status



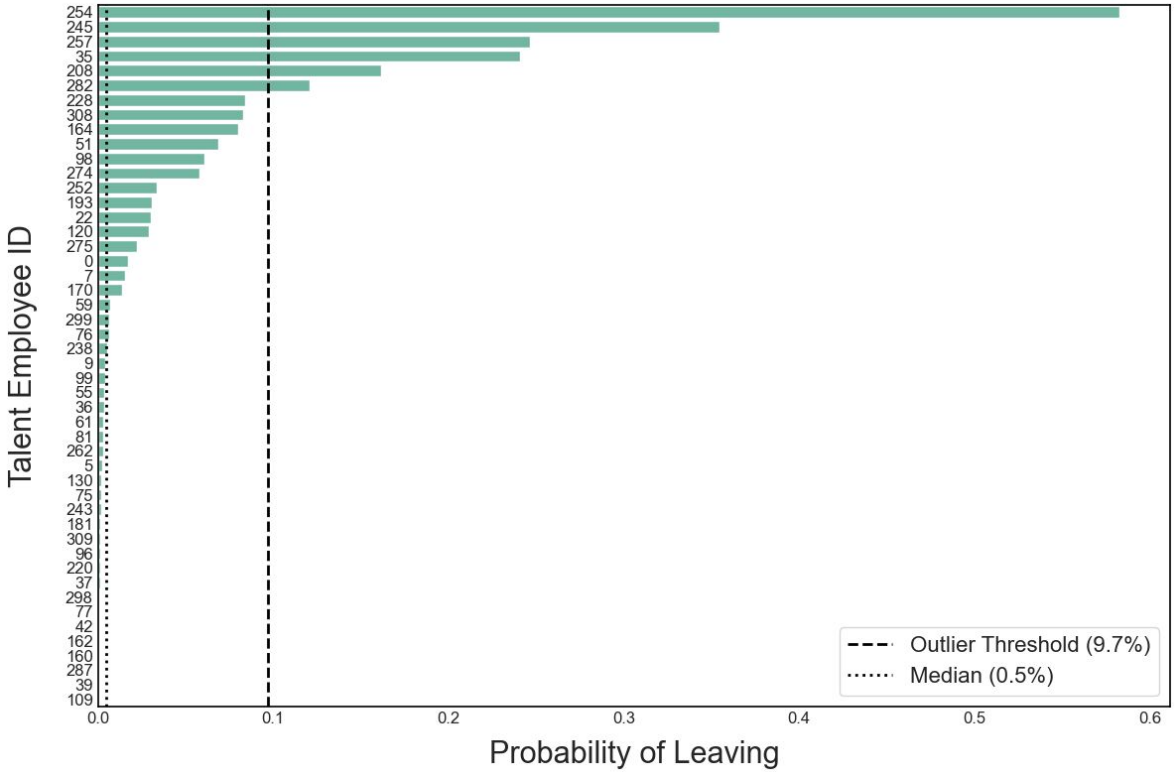
The model successfully distinguishes between employees who leave and those who stay.

Count of High-Risk Talents

Applying the model to current employees shows:

- **There are 6 talents with high probability of leaving**

These employees should be **priority targets for retention actions**.

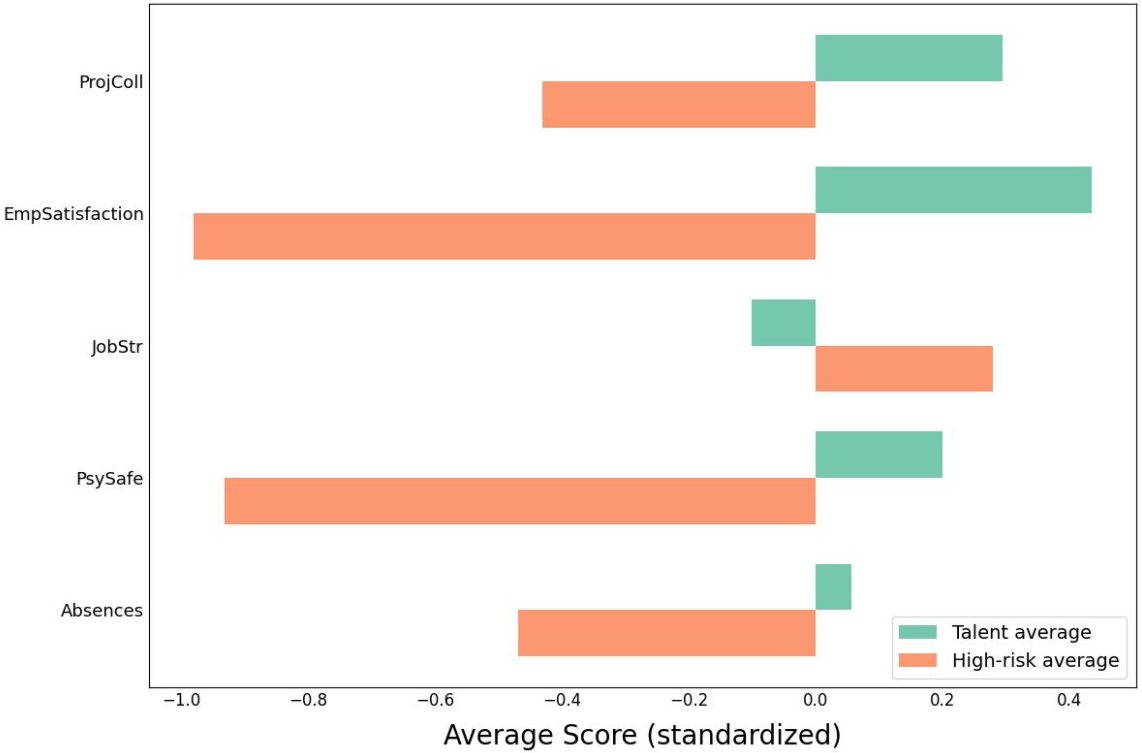


Red Flags Found in Data

Six employees with the highest risk of leaving, on average, experience...

- **Less satisfaction working and more job stress**
- **More absences**
- **And are less psychologically safe**

... compared to all other active talented employees



Recommendations

Predictive dashboard

- Monitor turnover risk quarterly
- Identify high-value employees at risk

Career development

- Clear career progression
- Training and internal mobility

Employee well-being

- Psychological support
- Improve satisfaction and manage stress

Big bet: reducing voluntary turnover

Lack of knowledge about employees

Problem →

High voluntary turnover

Create a quarterly updated predictive dashboard

Recommendation →

- Knowledge about the situation
- Possibility to take action

Quick win: increasing retention

Limited visibility of internal career opportunities

Problem →

Employees uncertain about growth possibilities

- Highlight career options per department
- Integrate into annual performance review

Recommendation →

- Greater awareness of internal career opportunities
- Stronger perception of career growth

Quick win: retain current talent

Top talent reports low satisfaction, high stress

Problem →

Risk of losing more talent

- Hire a therapist
- Organize more informal activities
- Raise awareness for psychological safety

Recommendation →

- Reduce risk of talent turnover
- Create a more enjoyable and safe workplace

Business value

01 Reduce voluntary (talent) turnover

02 Less recruitment costs

02 More productive workplace

03 Higher profitability

Any questions?

Ask away!